Mold-Tek Packaging Ltd

Q4FY22 Result Update | Packaging

Poised for disruptive growth

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

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MoldTek Packaging had delivered decent revenue growth aided by good volume but the profitability was lower than expected due to high raw mat cost and tax rate

- **Revenue from operations** came at 1,779.23 Mn (+11% QoQ) (+10.5% YoY)
- **EBITDA** came at Rs 317.8 Mn (0.5% QoQ) (-4.4% YoY)
- **EBITDA Margins** were at 17.9% (Vs 19.7% QoQ) (Vs 20.6% YoY)
- **PAT** came at Rs 173.2 Mn (+3.9% QoQ) (-3.9% YoY)

Other Details

- **RM cost as percentage to Revenue** came at61.2% (Vs 5 9% QoQ) (Vs 57% YoY)
- **O. Exp as percentage to Revenue** came at 15% (Vs 15.15% QoQ) (Vs 16.05% YoY)
- **Volume** at ~8348 tonnes, **EBITDA per KG** at 38Rs (weaker than expected due to lag in pricing pass on)

Outlook

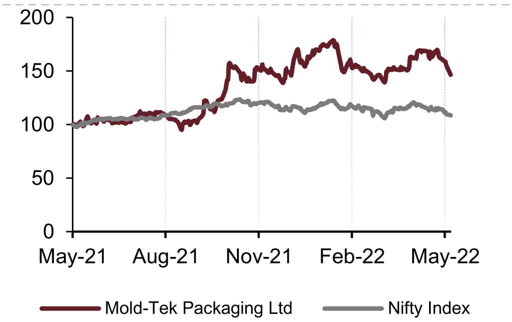
Company has delivered good volume growth but has failed to achieve its volume target for the year. The realizations have dropped even without change in sales mix. Even with these setbacks, the company has not changed its guidance and with the ongoing developments, we believe that the company will be able to deliver 15-20% volume growth. However, the key data to watch out would be the realizations which will impact its EBITDA per Kg.

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	800	15

Market data		
Current price	**Rs**	**694**
Market Cap (Rs.Bn)	(Rs Bn)	22
Market Cap (US$ Mn)	(US$ Mn)	289
Face Value	Rs	5
52 Weeks High/Low	Rs	862.15 / 438
Average Daily Volume	('000)	116
BSE Code		533080
Bloomberg		MTEP.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	35.10	33,52
Public	64.9	66.48
Total	**100**	**100**

Source: Bloomberg

Financial Summary

Y/E Mar (Rs mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net sales	3,940.9	4,374.4	4,789.3	6,314.7	7,592.4	8,630.7
EBIDTA	719.5	800.4	959.6	1,206.7	1,518.0	2,050.6
Margins	18.26%	18.30%	20.04%	19.11%	19.99%	23.76%
Adjusted net profit	310.4	404.2	488.8	632.1	829.6	1,160.4
EPS (Rs)	11.2	14.6	17.5	20.2	26.0	36.4
P/E (x)	61.9	47.6	39.6	34.3	26.7	19.1
EV/EBITDA (x)	28.0	25.4	21.2	18.2	15.3	11.3
RoCE (%)	20.39%	19.97%	20.86%	19.29%	23.72%	28.55%
RoE (%)	16.29%	20.50%	19.11%	13.83%	21.48%	25.19%

Source: Dalal & Broacha Research

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Conference Call Highlights

MoldTek Packaging had delivered decent revenue growth aided by good volume growth but lower than expected realizations. This has led to lower EBITDA per KG but the management feels that EBITDA per KG should recover going ahead due to pass on of lower raw mat cost.

Volume & Pricing:

- Full year volume growth at 11%
- Edible oil segment saw a drop of 24% while thin packs saw rise by 40% and paints saw 11-13% growth for the quarter.
- Almost 19% volume growth has been seen in April month
- April and May have seen lower RM cost which will translate into better EBITDA per KG. Co expects 43-45 Rs per KG.

New clients and Plant:

- Asian Paints expansion to commercialize from July 2022.
- Pharma IBM will take time for approvals so might not see revenue from them in FY23 but will see revenue from OTC IBM.
- Expect next year capacity to touch 51000 tonnes (current capacity at 44500 tonnes) (with help of Berger plant and Asian Paints expansion) and utilization to remain close to 65%
- Some new products in works for HUL and GSK (potential to add 30 Crs to topline)
- Exports to US have started but to Indian restaurants only. Still touching base with other restaurants and store owners. Another issue is freight (around 9000$ for 40 ft container Vs 3000$ earlier)
- QR coded IML business: Gulf and an edible oil company have signed up. Castrol showing positive intent but no timeline
- IML capacity to increase by 70% in FY23

Other Details:

- Expect IBM to contribute 180-250 Crs in 3 years' time. FY23 to contribute only 10-12 Crs
- EBITDA per KG has been lower in the quarter (39 Rs Vs 42 Rs YoY) due to delay in reduced Raw Mat cost pass on. The delay is normal since the cost changes are passed on with a lag. Due to this, next quarter should see better EBITDA per KG numbers. However, the second issue is lower realisations which will need to be addressed by the firm separately.
- Debtor Days have risen which is accredited to extended credit to larger clients and more sales towards the end of the year.

Outlook:

- Company has delivered good volume growth but has failed to achieve its volume target for the year. The realizations have dropped even without change in sales mix. Even with these setbacks, the company has not changed its guidance and with the ongoing developments, we believe that the company will be able to deliver 15-20% volume growth. However, the key data to watch out would be the realizations which will impact its EBITDA per Kg.

Quarterly Financials

Particulars (Rs Mns)	Q4FY22	Q4FY21	YoY Growth	Q3FY22	QoQ Growth
Revenue	**1,779**	**1,610**	***10.5%***	**1,603**	***11.0%***
Employee Cost	106	102	***4.5%***	98	***8.3%***
Other Expenses	267	258	***3.3%***	243	***10.0%***
EBIDTA	**318**	**332**	***-4.4%***	**316**	***0.5%***
EBITDA per KG	**38.07**	**41.82**	***-9.0%***	**43.07**	***-11.6%***
Depreciation	69	58	***17.7%***	69	***0.2%***
Interest	11.3	28.7	***-60.7%***	27.5	***-59.0%***
Other Income	11	2	***461.3%***	2	***595.2%***
PBT (post exceptional)	**248**	**236**	***5.0%***	**222**	***12.1%***
Tax	75	56	***33.4%***	55	***36.9%***
PAT (reported)	173	180	***-3.9%***	167	***3.9%***
Adj. PAT (after minority and excl. exceptional)	**173**	**188**	***-8.1%***	**167**	***3.9%***
Equity	156	140		151	
Face Value	5	5		5	
EPS (on adj)	**5.41**	**5.88**	***-8.0%***	**5.39**	***0.4%***
Tax Rate	*30.26%*	*23.82%*		*24.78%*	
% to Revenue					
RM Cost	*61.16%*	*57.00%*		*59.01%*	
Employee Cost	*5.97%*	*6.31%*		*6.12%*	
Other Expenses	*15.01%*	*16.05%*		*15.15%*	
Gross margins	*38.84%*	*43.00%*		*40.99%*	
EBIDTA Margins	*17.86%*	*20.64%*		*19.72%*	
PAT Margins	*9.68%*	*11.69%*		*10.39%*	

Source: Dalal & Broacha Reasearch

Outlook and Valuations

Company has delivered good volume growth but has failed to achieve its volume target for the year. The realizations have dropped even without change in sales mix. Even with these setbacks, the company has not changed its guidance and with the ongoing developments, we believe that the company will be able to deliver 15-20% volume growth. However, the key data to watch out would be the realizations which will impact its EBITDA per Kg.

After factoring in the recent developments, we believe MoldTek will deliver EPS of 26.4/36 in FY23/24. **We value the company at 22x FY24 EPS and arrive at a target of 800 with Buy on Dips rating.** We have downgraded our rating due to poor market conditions (giving possible opportunity to buy at lower levels) and certain negatives of the company (like weaker realisations).

Financials

P&L (Rs mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Operating Income	3,940.9	4,374.4	4,789.3	6,314.7	7,592.4	8,630.7
Raw Materials	2,387.2	2,498.6	2,724.0	3,765.9	4,441.5	4,854.0
Employee Cost	404.5	309.0	326.9	386.8	475.0	517.8
Other Expenses	429.6	766.3	778.7	955.3	1,157.8	1,208.3
Total Expenses	3,221.4	3,573.9	3,829.7	5,108.0	6,074.3	6,580.2
Operating Profit	**719.5**	**800.4**	**959.6**	**1,206.7**	**1,518.0**	**2,050.6**
Depreciation	147.4	190.7	214.9	264.2	340.0	420.0
PBIT	572.1	609.7	744.7	942.4	1,178.0	1,630.6
Other income	13.4	11.6	6.0	11.0	11.0	8.7
Interest	70.8	101.9	99.4	92.8	80.0	88.0
Extraordinary Items	115.0	28.6	10.8	-	-	-
Profit before tax	399.6	490.8	640.5	860.6	1,109.0	1,551.3
Provision for tax	158.6	108.9	159.8	228.6	279.5	390.9
Reported PAT	**241.0**	**381.9**	**480.8**	**632.1**	**829.6**	**1,160.4**
Extraordinary Items	115.0	28.6	10.8	-	-	-
Minority Interest						
Adjusted PAT	**310.4**	**404.2**	**488.8**	**632.1**	**829.6**	**1,160.4**

Source: Dalal & Broacha Research, Company

Growth Ratios (%)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Sales	16.09%	11.00%	9.48%	31.85%	20.23%	13.68%
Operating Profit	13.35%	11.25%	19.88%	25.75%	25.80%	35.08%
PAT	-23.94%	58.44%	25.88%	31.47%	31.25%	39.88%
Per Share (Rs.)						
Net Earnings (Adj. EPS) (FV 5)	11.2	14.6	17.5	20.2	26.0	36.4
Cash Earnings (CPS)	14.0	20.7	24.9	28.7	36.6	49.5
Dividend	4.0	5.0	7.0	8.0	9.0	12.7
Book Value	68.8	71.1	91.7	146.2	121.0	144.3
Valuation Ratios						
P/E(x)	**61.9**	**47.6**	**39.6**	**34.3**	**26.7**	**19.1**
P/B(x)	10.1	9.8	7.6	4.7	5.7	4.81
EV/EBIDTA(x)	28.0	25.4	21.2	18.2	15.3	11.3
Div. Yield(%)	0.58%	0.72%	1.01%	1.15%	1.30%	1.83%
Return Ratios (%)						
ROE	16.29%	20.50%	19.11%	13.83%	21.48%	25.19%
ROCE (Excluding Financial Liability)	20.32%	19.90%	20.79%	18.67%	24.22%	28.88%
ROCE (Excluding Cash & Bank)	20.39%	19.97%	20.86%	19.29%	23.72%	28.55%
ROA	9.04%	11.15%	11.20%	11.01%	14.11%	17.51%

Source: Dalal & Broacha Research, Company

Cash Flow (Rs. Mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
PAT + Depn	**388.4**	**572.6**	**695.6**	**896.3**	**1,169.6**	**1,580.4**
Increase/decrease in						
Inventories	66.4	(61.5)	(208.2)	(250.8)	168.1	(73.5)
Trade Receivables	160.3	83.9	(321.4)	(528.8)	78.1	(184.9)
Short Term Loans and Advances	(14.6)	31.5	4.4	(2.9)	2.3	(0.5)
Other Current financial Assets	0.2	(3.0)	8.5	(7.7)	(14.0)	(14.9)
Other Current Assets	(29.1)	(48.8)	93.8	(60.3)	(49.7)	151.8
Trade Payables	(21.8)	1.4	142.0	(41.7)	84.4	33.9
Other Financial Liabilities	190.3	(41.8)	59.9	(96.2)	261.6	(54.7)
Short term Provisions	12.8	(10.6)	4.1	2.4	1.6	1.2
Other short Financial liabilities	10.4	10.9	0.4	17.3	7.1	(14.7)
Long Term Provisions	0.2	5.8	8.7	2.9	7.8	5.2
Total	375.1	(32.2)	(208.0)	(965.9)	547.3	(151.0)
Net Cash from Operating Activities	**763.5**	**540.4**	**487.6**	**(69.6)**	**1,716.8**	**1,429.4**
Cashflow from Investing Activites						
Fixed Assets	(732.6)	(385.3)	(527.6)	(637.8)	(930.3)	(1,007.7)
long term investments						
Total	**(732.6)**	**(385.3)**	**(527.6)**	**(637.8)**	**(930.3)**	**(1,007.7)**
Cashflow from Financing Activities						
Equity	-	0.2	0.9	16.7	3.3	-
R&S	(142.4)	(317.0)	105.6	1,363.9	(1,541.3)	(417.1)
DTL	26.7	(14.5)	4.3	26.8	(26.8)	-
Income tax Assets	(7.1)	0.4	0.9	(3.1)	3.1	(0.8)
Income Tax Liabilities	(2.8)	-	8.7	(3.2)	-	-
Short term borrowings	(30.6)	74.4	7.9	(636.1)	636.1	-
Long Term borrowings	122.9	103.2	(85.7)	87.6	(121.3)	33.4
Other Financial Liabilities	1.7	(0.9)	(0.6)	2.0	(2.0)	-
Total	**(31.6)**	**(154.2)**	**42.2**	**854.7**	**(1,048.9)**	**(384.4)**
Net Cash	**(0.6)**	**1.0**	**2.2**	**147.3**	**(262.4)**	**37.3**
Cash at the beginning of year	9.4	8.8	9.7	12.0	163.1	(103.2)
Cash at the end of the year	8.8	9.7	12.0	163.1	(103.2)	(65.9)
Net Cash	**(0.6)**	**1.0**	**2.2**	**151.2**	**(266.3)**	**37.3**

Source: Dalal & Broacha Reasearch

Balance Sheet (Rs. Mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Equity capital	138.5	138.6	139.6	156.3	159.6	159.6
Reserves	1,767.5	1,832.4	2,418.8	4,414.8	3,703.0	4,446.3
Net worth	**1,906.0**	**1,971.1**	**2,558.4**	**4,571.1**	**3,862.6**	**4,605.9**
Def. Tax Liab.+Minority Int.	130.6	116.1	120.5	147.3	120.5	120.5
Longterm Debt	169.0	278.0	201.0	291.5	178.0	216.6
Short Term Debt	740.2	814.6	822.5	186.4	822.5	822.5
Total debt	909.2	1,092.6	1,023.5	477.9	1,000.6	1,039.2
Other Non current Liabilities	1.7	0.9	0.3	2.3	0.3	0.3
CAPITAL EMPLOYED	**2,947.5**	**3,180.7**	**3,702.6**	**5,198.6**	**4,983.9**	**5,765.8**
Gross block	2,350.2	2,778.8	3,308.7	3,921.3	4,822.8	5,796.8
Accumulated depreciation	357.3	546.3	761.2	1,025.5	1,365.8	1,787.2
Net block	1,992.9	2,232.5	2,547.5	2,895.7	3,457.0	4,009.7
Capital WIP	160.4	115.3	113.0	138.4	167.4	202.4
Total fixed assets	**2,153.3**	**2,347.8**	**2,660.6**	**3,034.1**	**3,624.4**	**4,212.1**
Goodwill						
Investments						
Inventories	438.5	500.0	708.2	959.0	791.0	864.4
Sundry debtors	663.8	579.9	901.3	1,430.1	1,352.1	1,537.0
Cash & bank	8.8	9.7	12.0	163.1	(103.2)	(65.9)
Loans & advances	39.1	7.6	3.2	6.1	3.9	4.4
Other current assets	116.2	167.9	65.7	133.7	197.4	60.4
Sundry creditors	178.9	180.3	322.3	280.6	365.1	399.0
O. Current Liablities	291.0	260.1	320.4	241.5	510.2	440.9
Provisions	15.6	5.0	9.1	11.5	13.1	14.2
Working capital	**780.7**	**819.6**	**1,038.5**	**2,158.5**	**1,352.8**	**1,546.2**
Current Tax Assets (Net)	13.6	13.2	12.3	15.4	12.3	13.0
Current Tax Liabilities (Net)	-	-	8.7	5.5	5.5	5.5
CAPITAL DEPLOYED	**2,947.5**	**3,180.7**	**3,702.6**	**5,202.5**	**4,983.9**	**5,765.8**

Source: Dalal & Broacha Research, Company

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